

- [Vanguard Personal Advisor Services](#) 0.30%
- [Betterment](#) 0.15%
- [WealthFront](#) 0.25%
- [Liftoff](#) 0.40%
- [AssetBuilder](#) 0.45%

Recall that for a \$1 million portfolio, a 2% fee is \$20,000 per year. Instead of it being automatically deducted from your account, imagine literally carrying a briefcase full of cash to your advisor each year – that may change your perspective!

TAXES:

“One of the most serious problems in the mutual fund industry, which is full of serious problems, is that almost all mutual fund managers behave as if taxes don’t matter. But taxes matter. Taxes matter a lot.” – David Swensen

For a longer review on fees and taxes, take a look at "[Rules of Prudence for Individual Investors](#)" by Mark Kritzman of [Windham Capital](#). It goes to show just how much alpha a mutual fund or hedge fund needs to generate just to overcome their high fees and tax burden (quick summary: it’s A LOT). Another good article is John Bogle’s “[The Arithmetic of “All-In” Investment Expenses](#)”.

We’re not going to dwell on taxes too much, but we leave you with the simple advice to place all the assets you can in a tax-deferred account. Further, any taxable assets should be managed in the most tax-efficient way possible with tax-harvesting strategies. ETFs are often a superior tax vehicle over mutual funds or closed end funds due to their unique creation/redemption feature. The website ETF.com has a [good education center](#) for those looking for more information on ETFs.